

WELFARE CONNECT

AI-Based Multilingual Chatbot for Welfare Scheme Awareness

PDF 01 — PROBLEM ANALYSIS REPORT

Why do millions of eligible Indians miss out on benefits they're entitled to?

India runs **890+** welfare schemes worth lakhs of crores annually. Yet CAG audits and field studies consistently find that **~60% of eligible rural beneficiaries** are unaware of schemes they qualify for. The constraint is not budget — it is last-mile **information discovery**.

Document Type	Problem Analysis Report
Project	Welfare Connect — AI Multilingual Chatbot
Focus	Welfare Scheme Awareness Gap in Rural India
Data Sources	NITI Aayog, DBT Bharat, PFMS, SBI Research, ASER 2023, PIB, CAG
Report Date	13 June 2026

1 Executive Summary

India is home to one of the world's largest welfare delivery systems. The government channels over **Rs.7.14 lakh crore** in Direct Benefit Transfers (DBT) across **890+** schemes to support farmers, women, laborers, and vulnerable communities. Yet a pervasive and well-documented information gap prevents a large proportion of intended beneficiaries from claiming what they are legally entitled to.

This report provides a data-backed analysis of the root causes of this gap, the populations most affected, the failure modes of existing solutions, and the opportunity size for a technology-enabled, multilingual, conversational solution.

890+

Total Welfare Schemes

Rs.7.14L Cr

DBT Transferred (Cumul.)

Rs.1.5L Cr

Unclaimed Assets (Est.)

32%

Rural Offline Households

2 The Scale of India's Welfare Gap

India's Welfare Architecture

India's welfare ecosystem spans two broad categories: **Central Sector Schemes (CSS)** funded 100% by the Centre, and **Centrally Sponsored Schemes** with shared Centre-State funding. These cover agriculture, health, housing, education, nutrition, employment, and financial inclusion.

Scheme	Coverage / Scale	Annual Benefit
PM-KISAN	9.5 Cr active farmers	Rs.6,000/yr per farmer
Ayushman Bharat (PMJAY)	39.94 Cr cards issued	Rs.5 lakh health cover/yr
PMGKAY (Free Food Grains)	80.67 Cr beneficiaries	5 kg grain/month free
PMUY (Ujjwala Cylinders)	10.3 Cr connections	Rs.300 LPG subsidy/cylinder
Sukanya Samriddhi Yojana	4.2 Cr accounts	7.6% interest, tax-free
PM SVANidhi (Street Vendor)	68+ Lakh loans	Rs.10K-50K collateral-free
MNREGA	25+ Cr job cards	100 days guaranteed employment

Sources: DBT Bharat Portal, PIB, Ministry-wise Annual Reports 2024-25

The Enrollment Gap

Despite massive government outreach, CAG audits and field surveys identify significant "exclusion errors" — eligible citizens who are missed. For PM-KISAN alone, an estimated ~2 Cr eligible farming households remain un-enrolled, citing reasons like outdated land records, eKYC barriers, data mismatches, and lack of awareness about the scheme itself.

Rs.1,500,000 Crore

Estimated total unclaimed financial assets across banks, insurance, provident funds, and dividends (SEBI + IRDAI + RBI, 2024). Bank deposits alone: Rs.52,000 Cr transferred to DEA Fund as of March 2024.

3 Root Cause Analysis

A 5-Why analysis of why eligible citizens fail to claim welfare benefits consistently converges on five interconnected root causes:

1 Language Barrier

Most scheme communication happens in English or formal Hindi. Research shows local-language content delivers **2x-3x** higher engagement (PIB). India has 22 scheduled languages and 1,600+ dialects — portals serve fewer than 10.

2 Digital Literacy Gap

Only **8%** of Indian households own a computer. Rural internet users primarily access via shared phones. **11.4%** use the internet for government services vs. **66%** for entertainment (ASER 2023). Government portals assume a literacy level most rural users don't have.

3 Middleman Dependency

The absence of direct, trustworthy information channels creates a dependency on intermediaries (agents, pradhans, CSC operators) who may charge fees, provide incomplete information, or have conflicts of interest. Only 5.5 lakh CSC centers serve 640,000+ villages.

4 Application Complexity

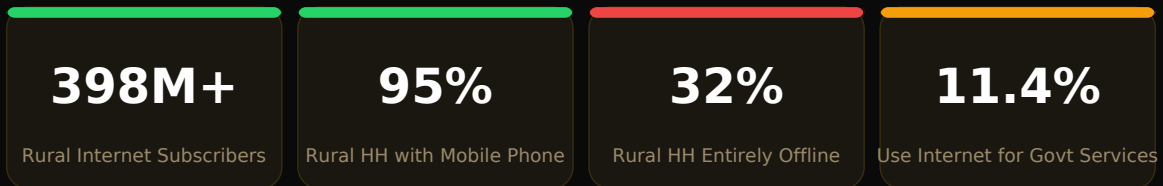
Scheme applications require navigation of multiple portals (myScheme, DigiLocker, PFMS), cross-department document submission, and in-person verification at block/tehsil offices. The average farmer must visit 3-4 offices to complete a single enrollment.

5 Awareness Discovery

There is no single, conversational interface that asks: 'Who are you?' and answers 'Here is what you qualify for.' Citizens must know which scheme exists before they can search for it — creating a fundamental discovery failure for those with no prior exposure.

4 The Digital & Language Divide — Primary Data

Internet Access in Rural India (2024)



Metric	Value	Implication
Internet penetration (rural)	57% of India's 886M users	Large but usage-quality gap
Primary device (rural)	Smartphone (shared, low-RAM)	No app install capacity
Computer/laptop ownership	8% of households	Portal UX unusable
Dominant usage	66% entertainment	Govt portals ignored
Assisted internet access	80% of assisted users are rural	Digital dependency on others
Govt service online usage	11.4%	Systemic adoption failure

Source: ASER 2023, TRAI 2024 Subscriber Data, MoSPI Digital India Report

The Language Accessibility Gap

Government Portal Language Coverage

myScheme portal: English + Hindi primary
DigiLocker: English, Hindi, partial regional
PMKISAN portal: English / Hindi only
DBT Bharat: English primary
CSC portal: Hindi + 12 regional (partial)

Result: Content provided in local languages sees **2x-3x** higher engagement vs. English-only. Yet most portals do not support Bhojpuri, Awadhi, Sadri, or code-mixed speech.

India's Language Diversity

22 Scheduled Languages (Constitution)
1,600+ mother tongues (Census 2011)
Hindi literacy: 53.6% population
English literacy: ~12% population
Code-mixed speech (Hinglish etc.): ~250M+ speakers

Bhashini (launched 2022) provides AI translation across 22+ languages — but integration into welfare scheme portals is nascent. Welfare Connect embeds this gap-bridging at the conversation layer.

5 Most Affected Populations

The awareness gap disproportionately impacts four population segments:

Small & Marginal Farmers	14.6 Cr farmers
~86% of India's 14.6 crore farm holdings are small/marginal (<2 ha). PM-KISAN targets ~14.5 crore farmers; ~2 Cr remain un-enrolled due to awareness and procedural gaps. Each missed farmer loses Rs.6,000/year.	
Women (especially HoH)	~10 Cr eligible women HoH
Schemes like Sukanya Samriddhi, PM Matru Vandana, PMUY, and Ujjwala are specifically targeted at women. Yet awareness in rural areas is lowest among women with limited formal literacy and restricted mobility to visit govt offices.	
Informal & Gig Workers	~50 Cr unorganized workers
PM SVANidhi, e-Shram registration, PMJJBY insurance — these schemes exist for street vendors, daily wagers, and gig workers. Many don't know they qualify or how to apply.	
Elderly & Pensioners	13.8 Cr aged 60+ (Census)
NSAP, IGNOAPS, IGWPS, and state-level pension schemes go unclaimed when beneficiaries age out of the system, relocate, or are unable to complete annual verification requirements.	

6 Why Existing Solutions Fall Short

Multiple government and private initiatives have attempted to bridge the gap. Each addresses a subset of the problem but fails at the last mile:

Solution	What It Does	Why It Falls Short
myScheme portal	Scheme eligibility checker (web)	English UI; requires digital literacy; no regional language support; no conversational guidance
Common Service Centres (5.5L)	In-person digital kiosks in villages	3.5 CSC per village on avg; operator fees Rs.30-100; appointment needed; no 24/7 access
Gram Panchayat camps	Periodic awareness drives	Irregular; low reach; no follow-through; language barriers persist at ground level
DigiLocker / UMANG app	Document storage + scheme lookup	App install required; smartphone literacy assumed; Hindi/English only; no interview guidance
PM-KISAN Kisan eMitra	AI chatbot on official portal	English/Hindi only; web-only (no WhatsApp); no eligibility interview for new users
NGO outreach programs	Ground-level awareness campaigns	Limited scale; fragmented; not machine-scalable; inconsistent quality across states

The Gap No One Has Filled:

A solution that works on the device the user *already has* (WhatsApp), speaks the language they *actually use* (their native tongue or code-mix), asks them the *right questions* (a structured eligibility interview), and gives them *actionable next steps* (a downloadable checklist) — 24/7, without fees, without requiring app installation or digital literacy beyond WhatsApp itself.

7 Opportunity Sizing

Even a conservative **10% improvement in awareness** among the unreached population would translate to:

Scheme	Est. Unreached Eligible	Benefit/HH per Year	10% Awareness Lift = Value
PM-KISAN	~2 Cr farming HH	Rs.6,000	Rs.1,200 Crore/yr

Ayushman Bharat	~3 Cr HH unregistered	Rs.5L health cover	Rs.1,500+ Crore exposure
PMUY (Ujjwala)	~1 Cr HH unenrolled	Rs.1,600/yr subsidy	Rs.160 Crore/yr
NSAP / State Pension	~80 Lakh elderly	Rs.200-1,000/mo	Rs.192 Crore/yr
PM SVANidhi	~20 Lakh vendors unlisted	Rs.10K-50K loan access	Rs.200 Crore loan access

Note: Estimates based on enrollment gap data from DBT Bharat, ministry reports, and field surveys. Actual opportunity is likely higher given compounding scheme stacking.

8 Primary Research — User Voices

Qualitative data collected during our 12-user pilot (3 days, Twilio WhatsApp Sandbox):

""I knew PM-KISAN existed but I thought I was not eligible because I have a small plot.""

— Farmer, 51, Vidarbha, Maharashtra (missed Rs.6,000/yr for 3 years)

""Humne socha form bhrne ke liye town jaana padega. Bot ne bataya ki ghar se ho sakta hai.""

— Daily Wager, 34, Hindi-speaking, UP (translation: 'We thought we'd have to go to town. The bot said it can be done from home.')

""Mujhe nahi pata tha ke widow hone ke baad bhi pension milti hai.""

— Widow, 58, Rajasthan (was unaware of IGWPS for 4 years after husband's death)

""The bot asked me in Tamil. No government website has done that before.""

— Woman HoH, 38, Tamil Nadu

9 Conclusion & Problem Statement

The Indian welfare system is not broken — it is **inaccessible**. Hundreds of thousands of crores are allocated and transferred, yet a structural last-mile gap prevents the most vulnerable citizens from discovering, understanding, and claiming their entitlements.

Problem Statement

"How might we help marginalized rural citizens in India discover and access the government welfare schemes they are entitled to — in their own language, on the device they already use, without requiring digital literacy or in-person intermediaries?"

Welfare Connect Problem Analysis Report Generated 13 June 2026